Economics 3200 Economics of Globalization
Professor James Harrigan
University of Virginia, F2026
Homework assignment 7
due 3:30pm Thursday October 22

Please do NOT use an LLM to create the text for your answers.

1. Write a very short essay that
   (a) describes the "local labor market" approach to studying the effects of immigration.
   (b) explains one reason why such studies may overstate the wage effects of immigration.
   (c) explains one reason why such studies may understate the wage effects of immigration.
2. This question relates to the study by Caiumi and Peri (2026)
   (a) What is their estimate of the elasticity of substitution between immigrant and native-born workers with a college degree?
   (b) Given this estimate, what is their predicted effect on the wage of native-born college-educated workers relative to the wage of foreign-born college-educated workers of a ten percent increase in the number of foreign-born college-educated workers?
3. To answer this question, work with the framework on slides 8-15 of Lecture 14.
   (a) Suppose that in the next 24 years U.S. immigration is half as big as it was between 2000 and 2024. What would be the effect of such an immigration level on economic growth between 2026 and 2050?
   (b) How would your answer change if all future immigrants had at least a college degree? Explain.